# Investor Presentation

8 April 2020

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# Part 1: Economic Overview

# Economic Overview

- Global economic financial conditions volatile and constricted in 2019 ; marked by US-China trade war, Brexit, tensions in the Middle East, protests in Hong Kong, climate change concerns, natural calamities leading to weak economic growth estimated to be **2.9% for 2019**.

- In Sub Saharan Africa: high nonperforming loans & weaknesses in public financial management systems resulted in large national deficits.

- Previous estimates of sustained economic growth in East Africa region with growth projected at 6.1% in 2020 no longer possible following the COVID-19 pandemic.

- Pandemic impact - supply side disruptions leading to shortage of raw materials (imports) and supplies and price increases on consumption commodities. As earnings in the different sectors dwindle, banks are likely to see asset quality deteriorate and increases in provisions for non performing loans.

- A survey by McKinsey estimates a likely drop of 3%- 8% decline in Africa's GDP under different scenarios though too early for a full assessment and impact of the pandemic.

- Kenya's GDP growth could decline by between 3pp and 10pp depending on the scenario and likely to be driven by reduction in household consumption and supply chain disruptions. Manufacturing and tourism affiliated sectors to be most impacted by the outbreak

# Part 2: Group Consolidated Performance: FY 2019

# I&M Holdings PLC – Income Statement Highlights

| Particulars | Dec -15 Kshs Mn | Dec-16 Kshs Mn | Dec-17 Kshs Mn | Dec-18 Kshs Mn | Dec-19 Kshs Mn | 19 vs 18 Y-Y % ▲ |
|---|---|---|---|---|---|---|
| Net Interest Income | 12,647 | 15,522 | 15,554 | 15,594 | 15,510 | -1% |
| Non Funded Income | 4,592 | 4,973 | 5,763 | 7,597 | 8,285 | 9% |
| **Total Operating Income** | **17,239** | **20,495** | **21,317** | **23,191** | **23,795** | **3%** |
| Operating Expenses | 6,412 | 7,379 | 7,833 | 8,481 | 9,461 | 12% |
| **Profit before Loan Loss Provisions** | **10,827** | **13,116** | **13,484** | **14,710** | **14,334** | **-3%** |
| Loan Loss Provisions | 983 | 2,957 | 4,144 | 3,807 | 636 | -83% |
| **Profit before Share of JV** | **9,844** | **10,159** | **9,340** | **10,903** | **13,698** | **26%** |
| Share of Profit from JV | 323 | 444 | 555 | 595 | 905 | 52% |
| **Profit Before Tax** | **10,167** | **10,603** | **9,895** | **11,498** | **14,603** | **27%** |
| **Profit After Tax** | **3,023** | **7,760** | **7,264** | **8,503** | **10,769** | **27%** |
| **Earnings per Share** | **8.56** | **8.81** | **8.18** | **9.62** | **12.47** | **30%** |
| **Dividends per Share** | **1.75** | **1.75** | **1.75** | **1.95** | **2.55** | **31%** |

# I&M Holdings PLC – Balance Sheet Highlights

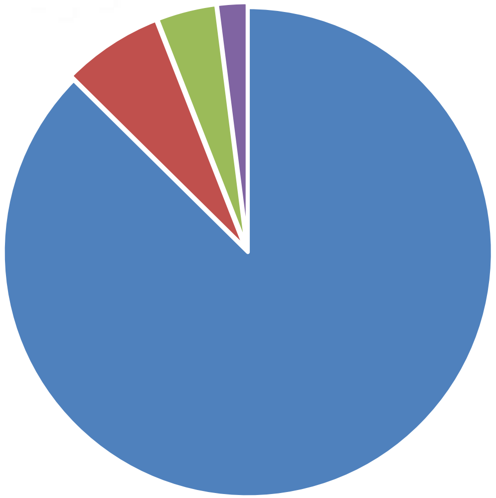
| Particulars | Dec-15 Kshs M | Dec-16 Kshs Mn | Dec-17 Kshs Mn | Dec-18 Kshs Mn | Dec-19 Kshs Mn | 19 vs 18 Y-Y % ▲ |
|---|---|---|---|---|---|---|
| Cash & Bank Balances | 9,948 | 11,084 | 11,880 | 14,867 | 15,386 | 3% |
| Investments & Placements | 44,118 | 52,783 | 57,226 | 85,832 | 97,587 | 14% |
| Loans & Advances (net) | 127,824 | 134,675 | 153,018 | 166,737 | 175,329 | 5% |
| Other Assets | 9,767 | 12,000 | 17,988 | 21,086 | 26,989 | 28% |
| **Total Assets** | **191,657** | **210,542** | **240,112** | **288,522** | **315,291** | **9%** |
| Customer Deposits | 132,981 | 146,514 | 169,282 | 213,139 | 229,737 | 8% |
| Borrowings | 14,071 | 13,314 | 12,662 | 13,756 | 10,856 | -21% |
| Other Liabilities | 10,844 | 11,208 | 11,153 | 10,753 | 13,836 | 29% |
| **Total Liabilities** | **157,936** | **171,036** | **193,097** | **237,648** | **254,429** | **7%** |
| **Shareholders' Funds** | **33,721** | **39,506** | **47,015** | **50,874** | **60,862** | **20%** |

# I&M Holdings Plc - Ratio Analysis

| | 2015 | 2016 | 2017 | 2018 | 2019 |
|---|---|---|---|---|---|
| Cost/Income Ratio | 37% | 36% | 37% | 37% | 40% |
| Liquidity Ratio | 34% | 37% | 36% | 47% | 46% |
| Loan to Deposit Ratio | 96% | 92% | 90% | 78% | 76% |
| Return on Equity | 21% | 20% | 15% | 17% | 18% |
| Return on Assets | 3.7% | 3.7% | 3.0% | 2.9% | 3.4% |
| Capital Adequacy Ratio | 19% | 22% | 18% | 18% | 21% |

# GROUP CONTRIBUTION DECEMBER 2019

## PBT Contribution

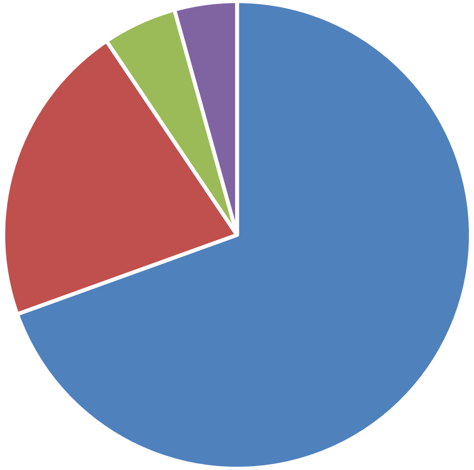


Kenya : 87.4%
Mauritius : 6.7%
Rwanda : 4.0%
Tanzania : 2.0%

**PBT KSHS ‘BN**

12.0
1.0
0.5
0.3

## Total Assets Contribution



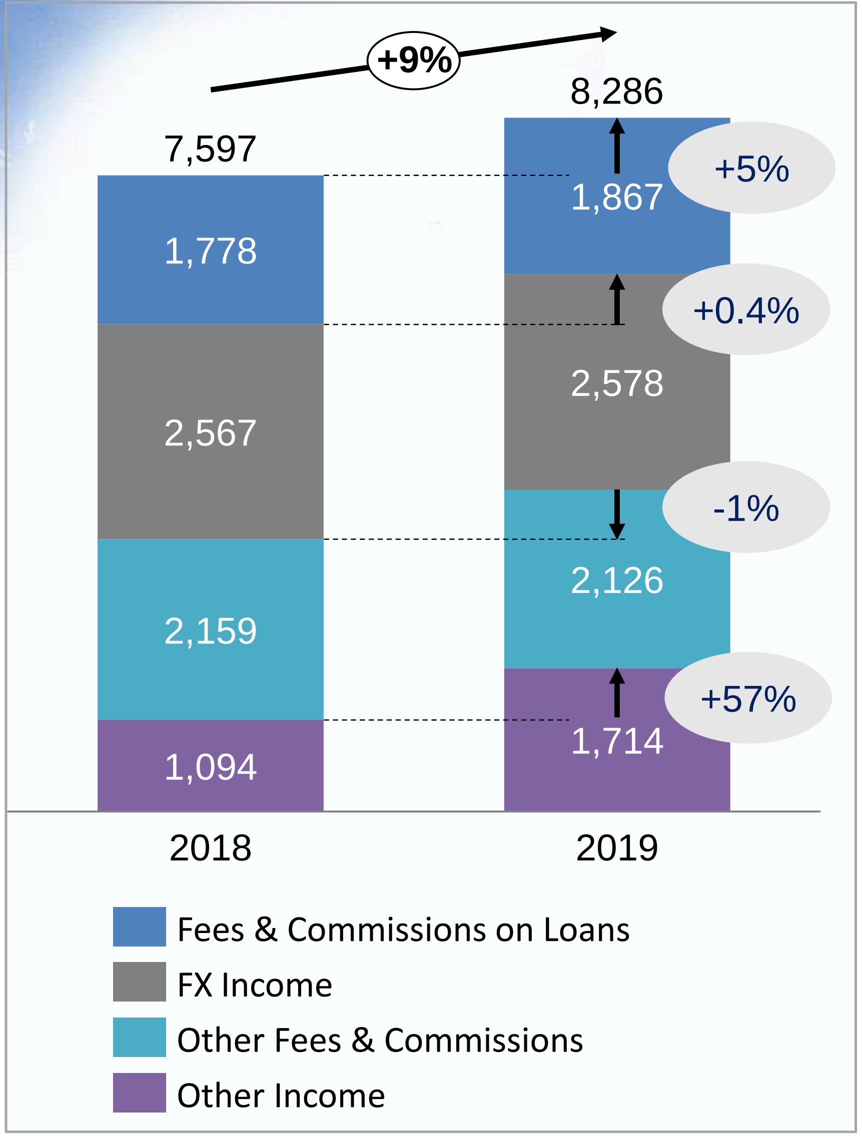
Kenya : 69.5%
Mauritius : 21.1%
Rwanda : 5.1%
Tanzania : 4.3%

**TOTAL ASSETS KSHS ‘BN**

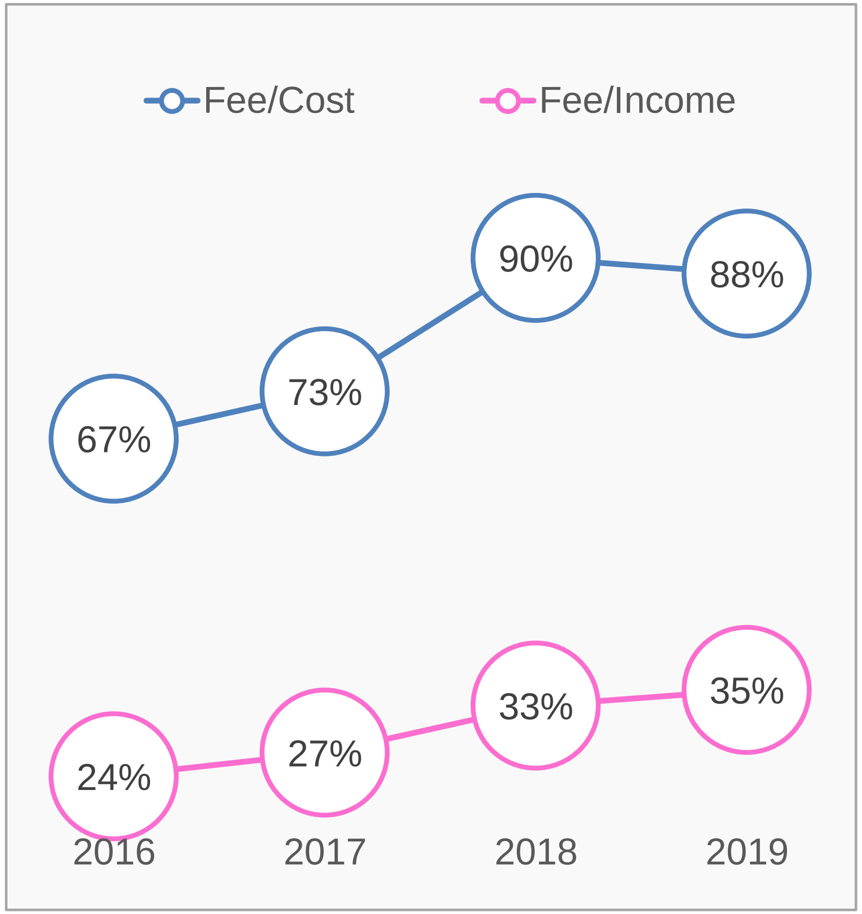
254
77.1
18.7
15.8

I&M HOLDINGS

## NFI [Kshs Mn]




## Fee/Cost vs Fee/Income

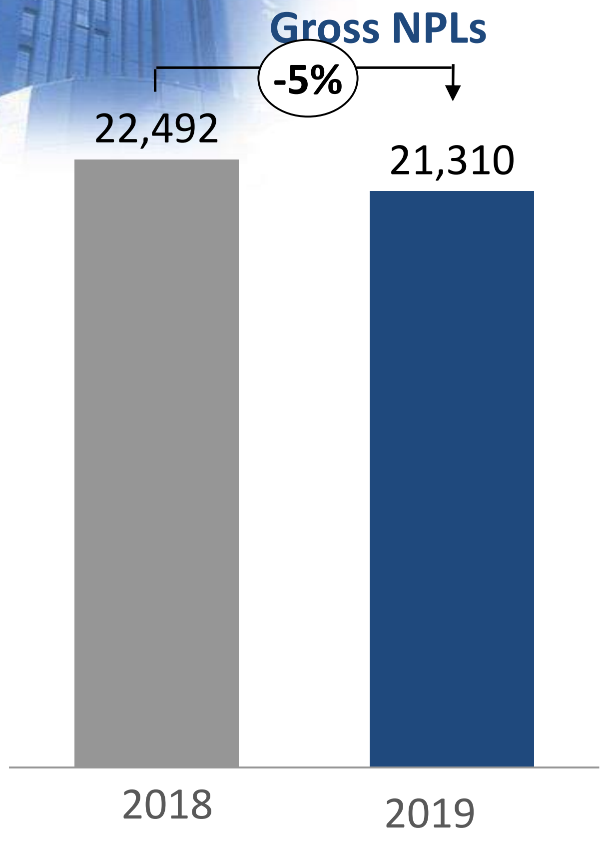



Continued growth in Non Funded Income as a result of quality service offering and value propositions.

Fee implies Non Funded Income [NFI]

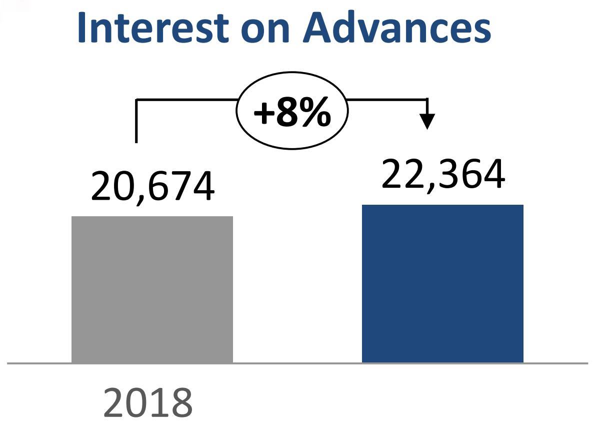
# Consolidated Loans & Advances and NPLs

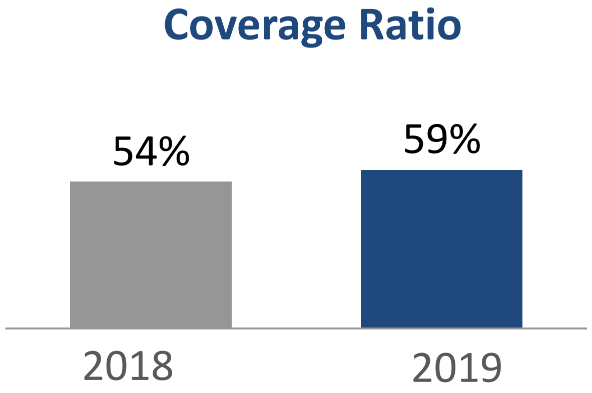
## Balance Sheet (Kshs Mn)

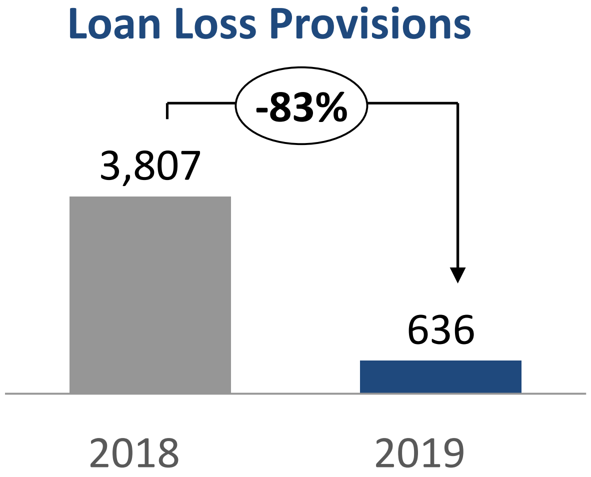


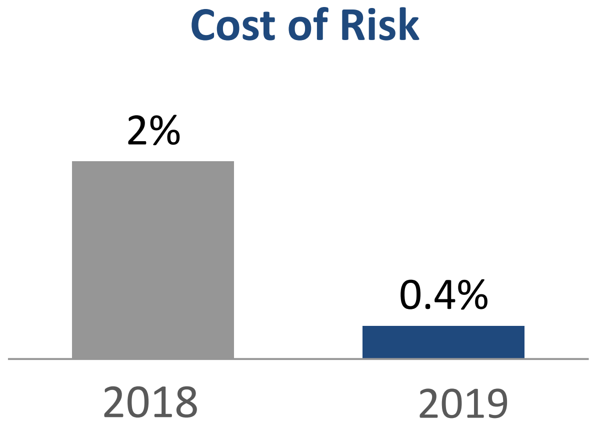

| | 2018 | 2019 |
|---|---|---|
| Gross NPA | 13% | 11% |
| Net NPA | 7% | 6% |

## Income Statement (Kshs Mn)



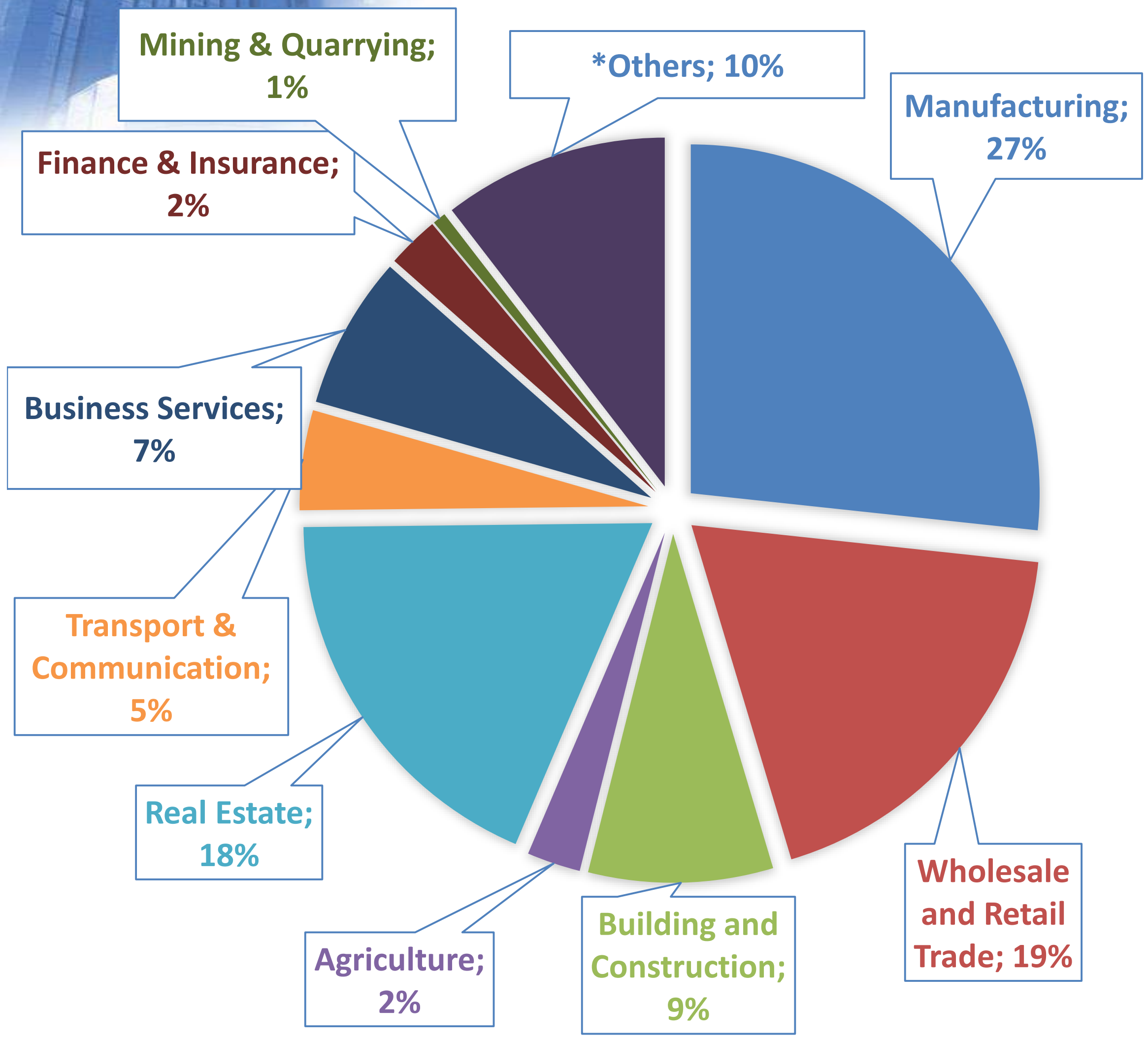



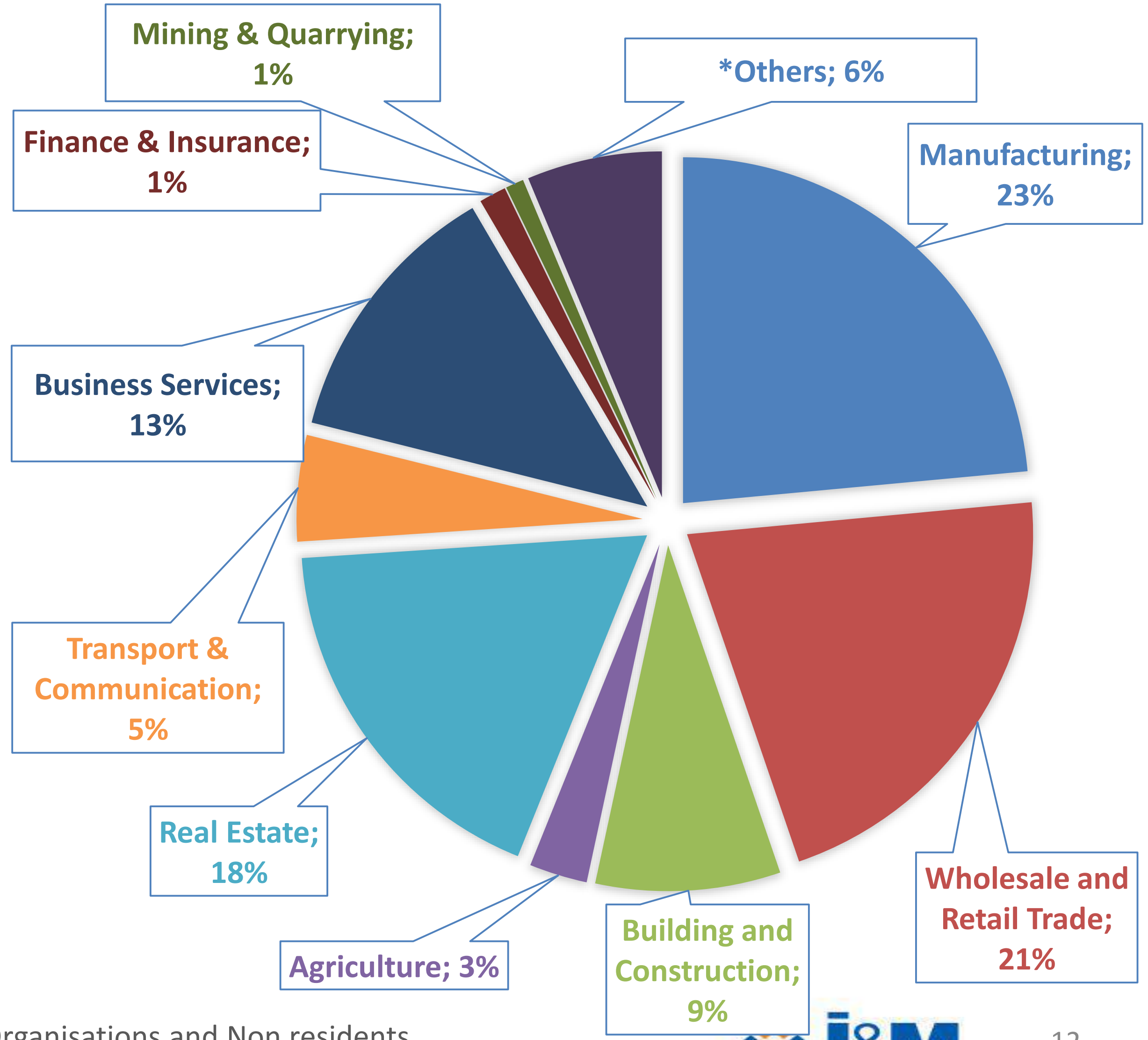



# Sectorial Distribution of Loans & Advances

## DEC 2019 KSHS '000'

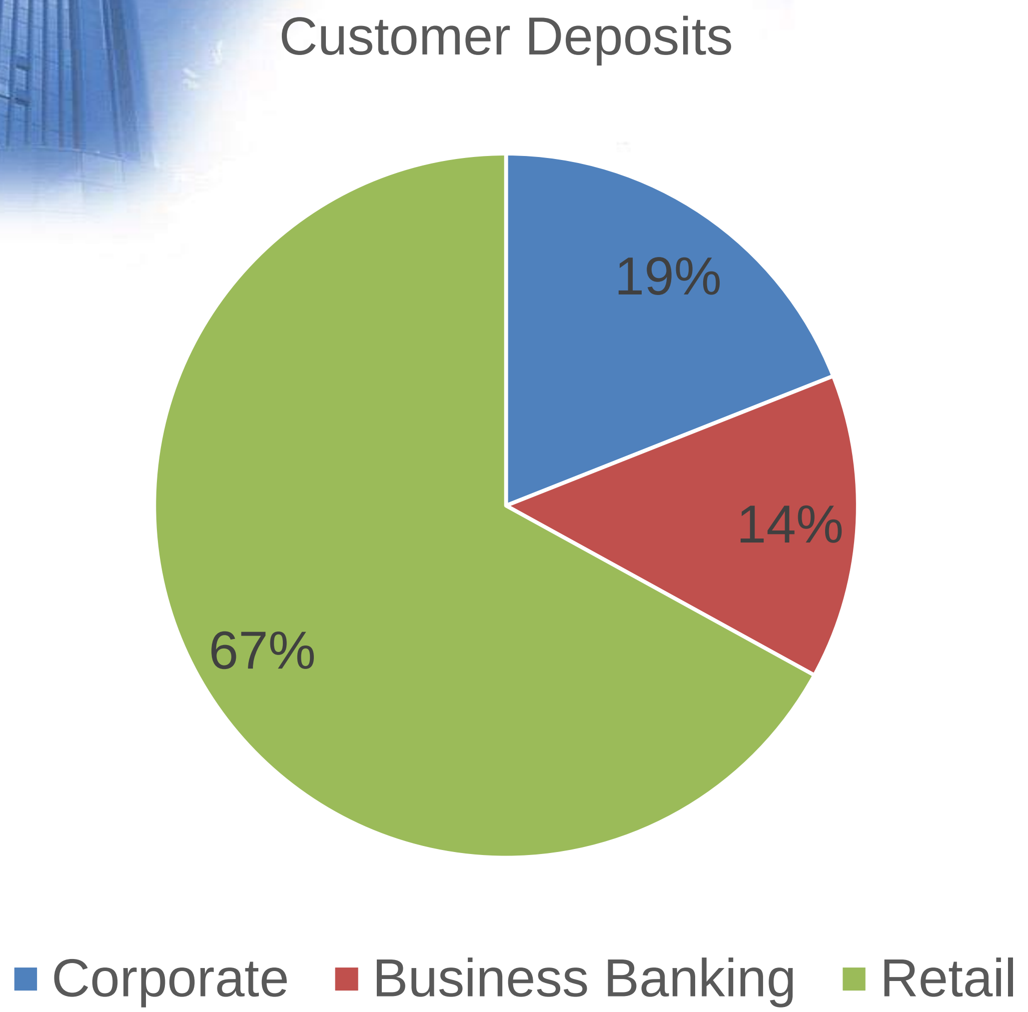


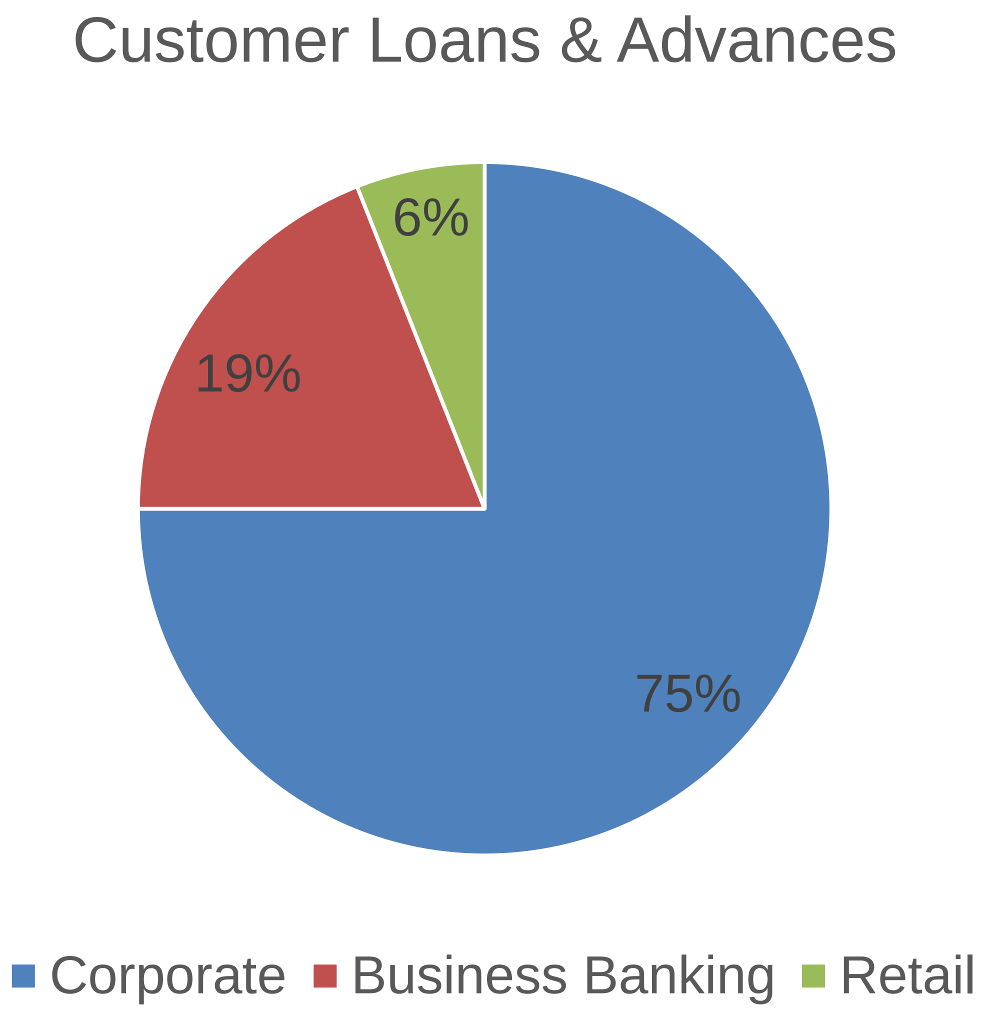

## DEC 2018 KSHS '000'




*Others includes – Consumer durables, Social & Community Services, International Organisations and Non residents.

# Segmental Distribution – Dec 2019

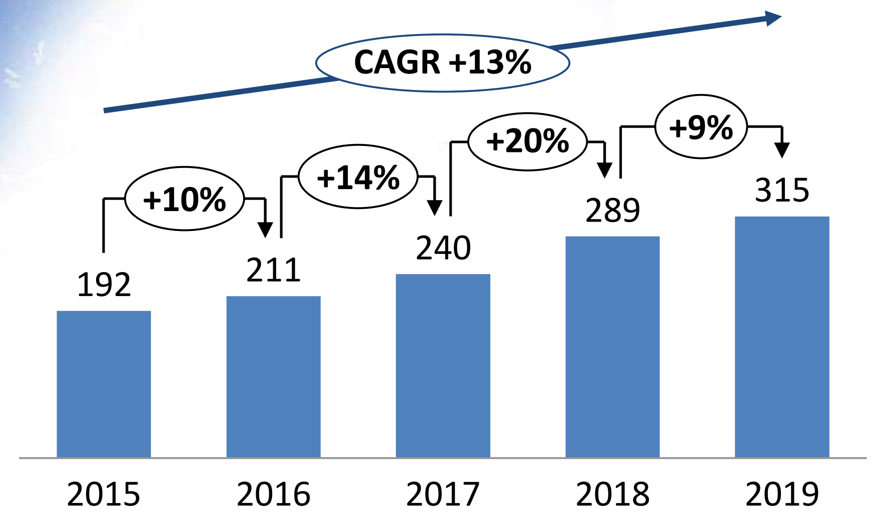


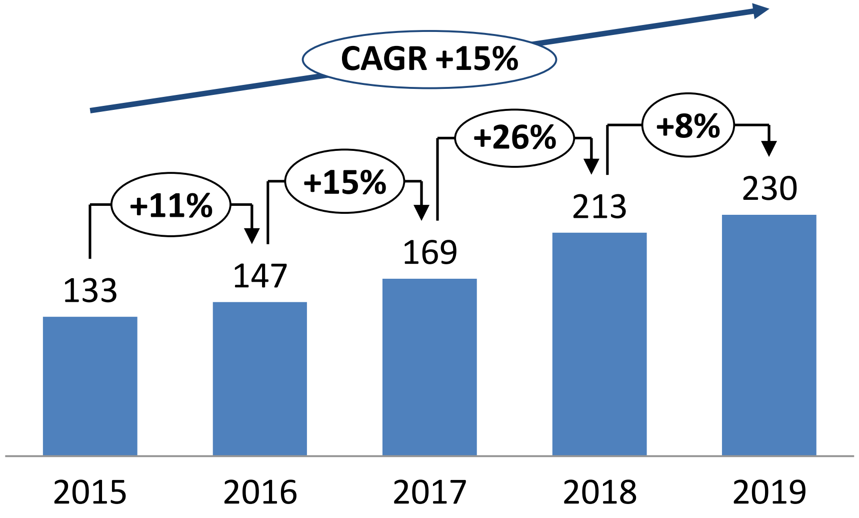
# Trend Analysis

# Performance Trend Analysis

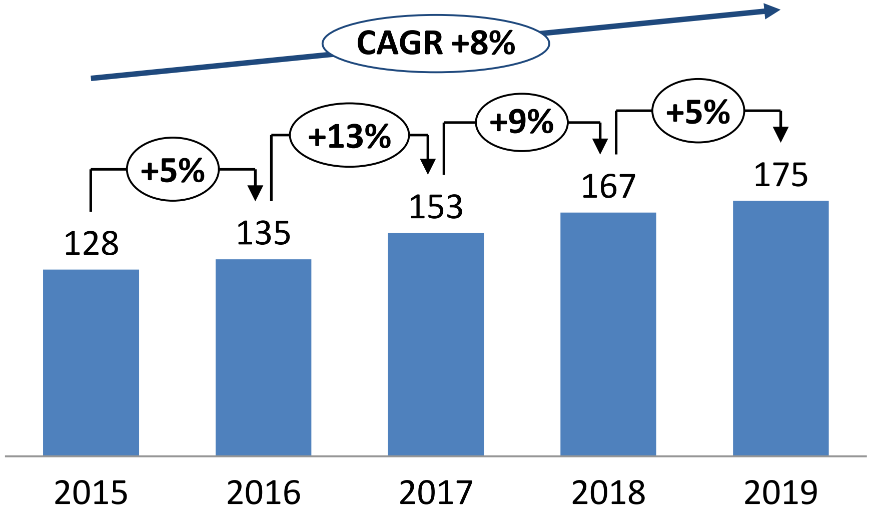
## Total Assets (Kshs Bn)



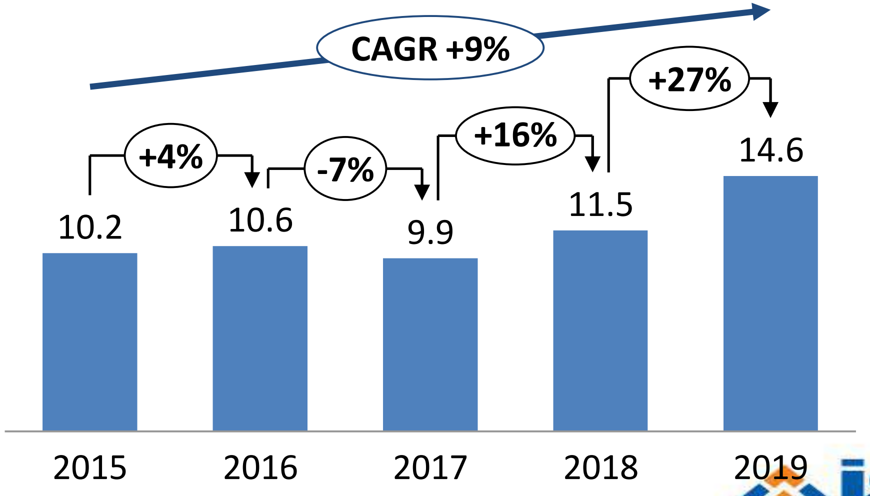

## Deposits (Kshs Bn)




## Loans (Kshs Bn)

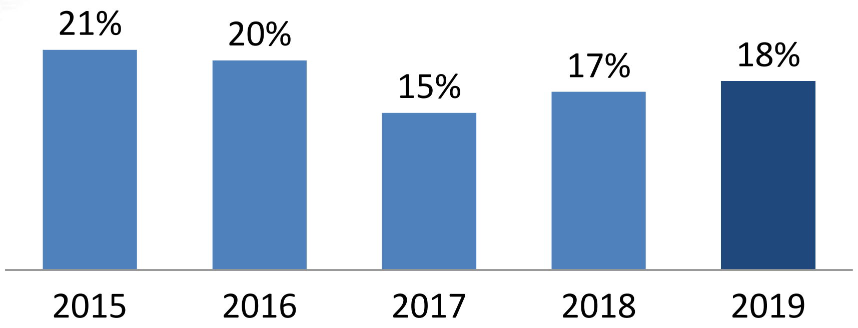



## PBT (Kshs Bn)

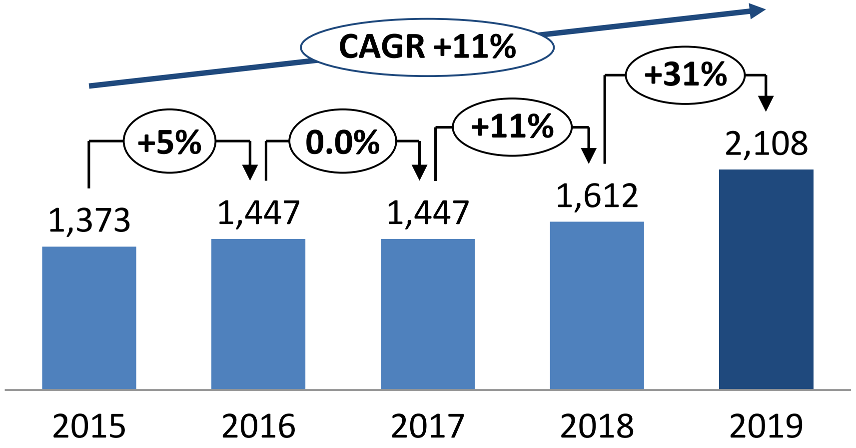


# Value to Shareholders

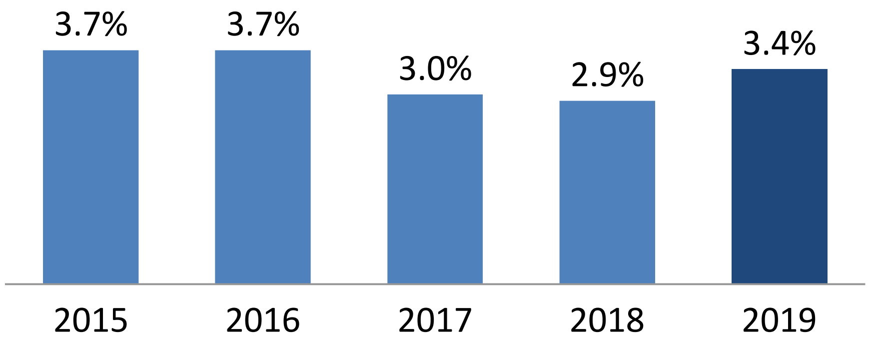
## Return on Equity



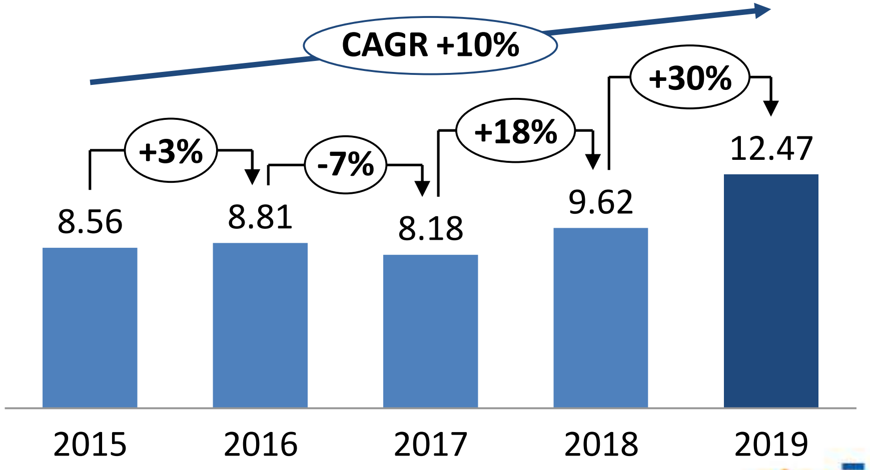

## Dividend Payout (Kshs Mn)




## Return on Assets



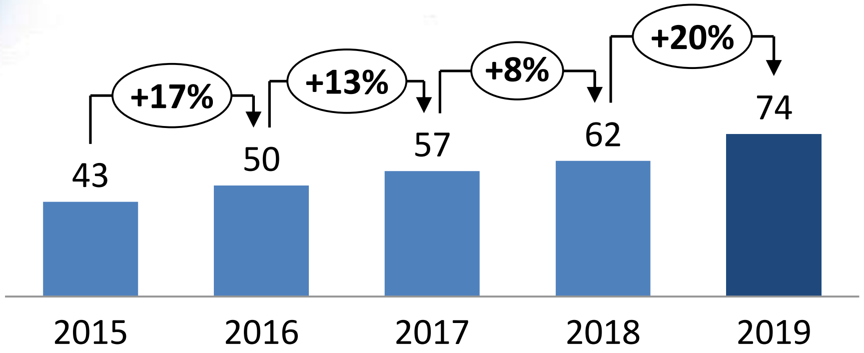

## Earnings Per Share



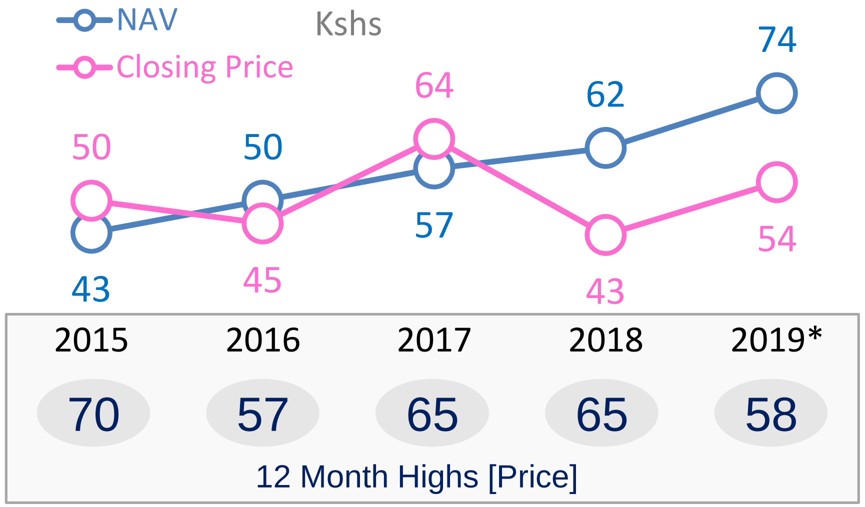
# Value to Shareholders

## NAV per Share (Kshs)

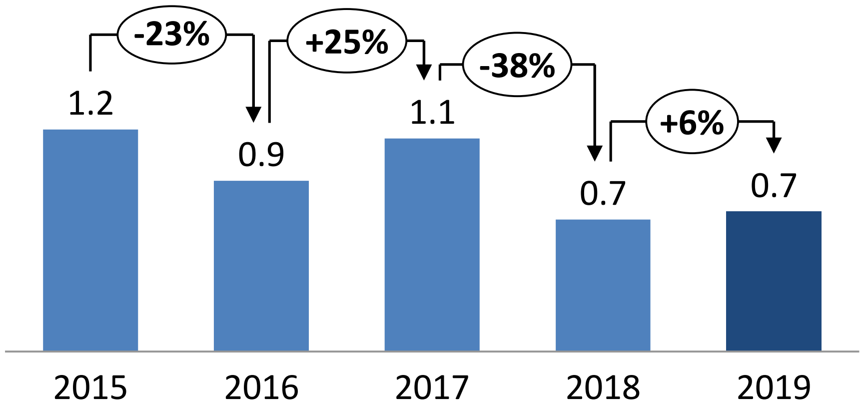
Historical share prices have been indexed (0.5x) to reflect the bonus issue 1:1, effected on 10 May 2019



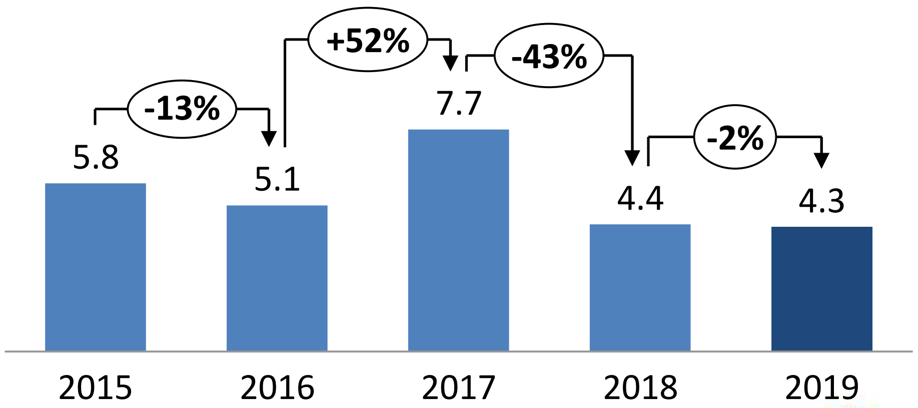

## NAV/Share vs Price/Share




## Price to Book Value Ratio




## Price to Earnings Ratio




*
-Price per share: As at 31 December 2019
-NAV: Net Asset Value; As at 31 December 2019

# Group Highlights: FY2019

***Improved Governance Framework***

- Creation of a new position of Regional Director supporting.
  - ✓ Effective implementation of I&M Group's long term vision.
  - ✓ Increasing Brand Value and Visibility
  - ✓ Effecting coordination within the Group building synergies for key strategic initiatives
- Further strengthening of the Board with appointment on a seasoned risk professional as an independent Director
- Introduction of Integrated Report demonstrating I&M's value add to its community

***Expansion of Digital Value Proposition***

- Leveraging technology and digital innovations focused on improving customer experience and operational efficiencies.
- Implementation of an upgraded core banking system - Finacle 10 across each of the banking entities in the Group
- Operationalization of the Innovation hub – iCube. iCube is the Group's Digital Factory set up to digitize the business through automation, process reengineering and improved use of alternate banking channels to drive sales, use of data and advanced analytics to make better informed decisions, and more generally fostering an innovation culture.
- Introduction of Multiple Channel platform for Mobile banking enhancing the secured experience for customers while transacting from their mobile phone

# iCube Initiatives : FY2019

**Customer onboarding application**

- *Approximately 13,000 new accounts were opened through this online solution*

**Advanced analytics**

- *Enabled focus on next best products and customer retention*
- *Resulted to better understanding of customer behavior*

**Redesign of Subsidiary websites**

- *Subsidiary websites were enhanced on their appeal and utility.*

**Launch of the Cultivating I&Magination Innovation Framework**

- *This has enabled translating ideas into innovative services that create value for our customers*
- *4 innovation concepts are at various stages of development in readiness for customer launch.*

# Part 3: Subsidiary Performance

# Kenyan Banking Sector Overview

- GDP growth in Kenya was estimated to be c. 5.9% for 2019. This is expected to drop to c. 3% as a result of the expected economic downturn post the Covid-19 pandemic

- The banking sector remained stable and resilient despite the tough regulatory and business environment.

<u>2019 Highlights:</u>

- **Interest Rates Capping** - Repeal of the Banking Act to remove interest rates capping injected a sense of optimism with expectation of shift of financial resource allocation to households and businesses.
- Growth in the **digital lending space**.
- Increased **consolidation** with increased Mergers and Acquisitions transactions within the industry
- **Increase in non performing loans** attributed to the challenges in the business environment & cash flow constraints on account of delayed payments by national and country governments to service providers.
- **Demonetization** – CBK withdrew the older 1,000 shillings banknotes and introduced new notes.

# I&M Bank Ltd, Kenya – Financial Highlights

**Highlights**

**Dec 2019**

**Vs**

**Dec 2018**

**Reported PBT**
2018: 8.7bn
12.0bn

**Net Revenue**
2018: 16.2bn
17.6bn

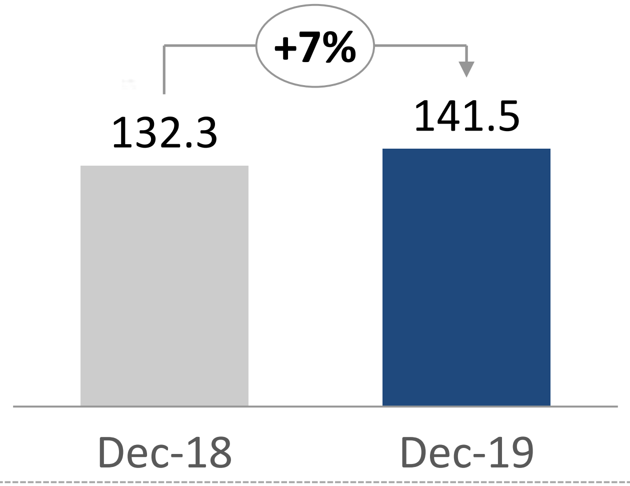
**Cost/Income**
2018: 35%
35%

**Fee/Income**
2018: 34%
32%

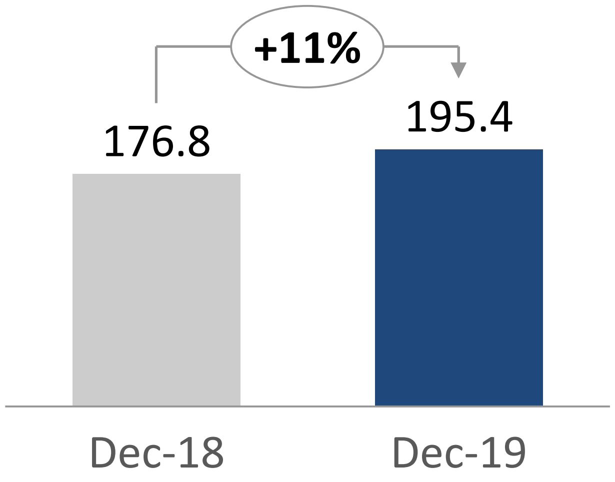
**Loans/Deposits**
2018: 75%
72%

**Fees/Cost**
2018: 95%
92%

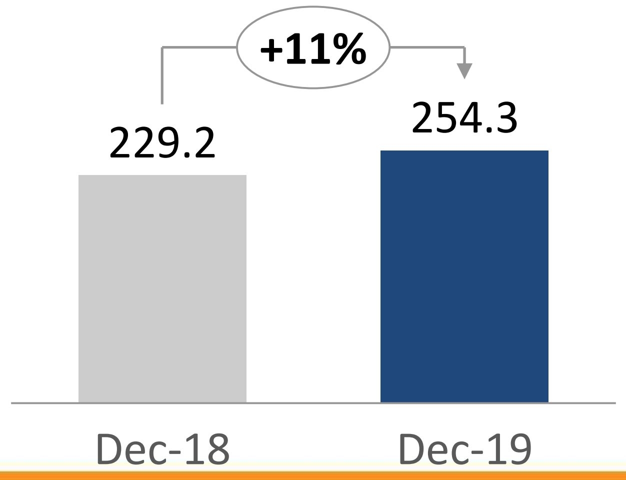
## Loans [Kshs Bn]



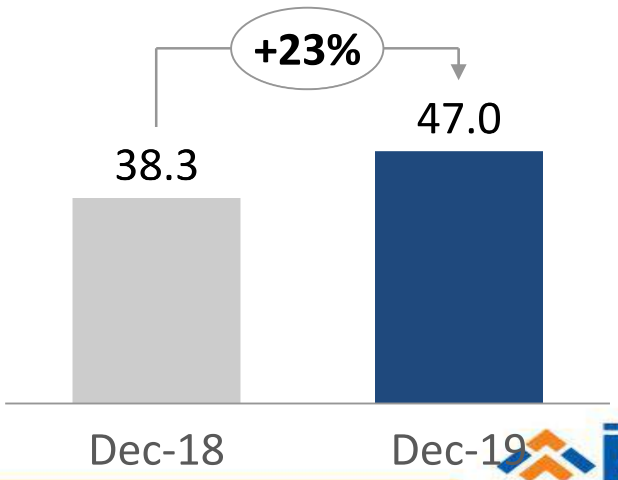

## Deposits [Kshs Bn]




## Assets [Kshs Bn]




## Equity [Kshs Bn]




Figures in Kenyan Shillings

# I&M Bank Ltd, Kenya - Other Operational KPIs

| | 2018 | 2019 |
|---|---|---|
| System Uptime Performance | 99.25% | 99.81% |
| Branch Transactions | 36% | 36% |
| Alternate Banking Channels Transactions | 64% | 64% |

**Customer Satisfaction score ▲**

2019 – 85%

2018 – 82%

**Complaint Resolution Rate ▲**

2019 – 84%

2018 – 80%

# I&M Bank Ltd, Kenya – Key Achievements

- I&M Bank Kenya attained ***Tier 1 status*** in the Kenya Banking Industry

- The rollout of the ***Finacle 10 core-banking system***, increasing operational efficiencies and enhancing delivery standards.

- The successful launch of the ***Multiple Channel Platform*** on Mobile Banking for retail customers.

- The roll out of the ***Customer Relationship Management to***ol, improving the holistic view of our customers and looks to positively impact the Sales Force Effectiveness Programme

- The launch of the ***Innovation Policy and Framework*** that will allow us to share innovative ideas on market driven solutions for our customers

***Key Awards & Recognition***

- CIO 100 Awards - **Excellence Enterprise Information Technology Adoption for Digital and Advanced Analytics – Silver Category**
- Nairobi Legal Awards 2019 (Law Society of Kenya) **- Corporate Legal Department of the year - 2nd Runners Up**
- Think Business
  - ✔ Most Efficient Bank in Kenya **- 2nd Runners Up**
  - ✔ Bank with the lowest charge for SMEs **- 1st Runners Up**
  - ✔ Bank with the lowest charge overall **- Winner**

# I&M Bank Ltd, Kenya – Key Achievements

- Increase in Strategic partnerships aimed at improving Customer Offering;  some significant ones:
  - ✓ a property financing collaboration with Tatu City to facilitate access to credit for buyers of property within the 5000 acre development
  - ✓ with DT Dobie for asset financing.
  - ✓ with the Kenya Association of Travel Agents for an online solution and
  - ✓ with Mayan Holdings to provide financing for purchase of plots, villas, and residential housing units in Laikipia County.

- Enhancement of  product offering:
  - ✓ Payment for all Custom related taxes at all entry points through its branch network and through the i-Click internet banking platform.
  - ✓ Remote Cheque Scanning offering through which corporate customers can scan cheques from their premises and get instant credit to their I&M Bank Account
  - ✓ Launch of the Medical Equipment Financing product, a tailor-made financing solution for health care service providers.

# Economic Review - Rwanda

- Rwanda continued to demonstrate high growth rates with annual GDP averaging 8.5 percent. This was supported by the booming construction sector, robust activity in service industry and a healthy agricultural output. It is encouraging to note the improvements in fiscal stability as well as price and exchange rate stability.

- The Banking sector recorded a steady growth rate of 12.5%.

- The sector is rapidly embracing digital banking avenues through agencies, internet and mobile banking and the effects are reflected through improved efficiencies and growth in profitability.

- Rwanda's banking sector reported a steady drop in non-performing loans in 2019.

- The electronic retail payments continued to gain momentum with the number and value of point of sale transactions increasing year on year.

Source; AFDB website

# I&M Bank (Rwanda) Plc, Rwanda – Financial Highlights

**Highlights**

**Dec 2019**

**vs**

**Dec 2018**

**Reported PBT**
2018: 10.8bn
9bn

**Net Revenue**
2018: 25.7bn
27.4bn

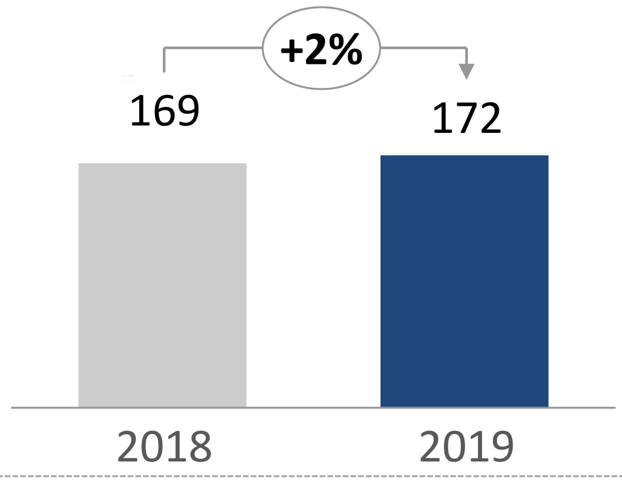
**Cost/Income**
2018: 58%
67%

**Fee/Income**
2018: 25%
22%

**Loans/Deposits**
2018: 88%
90%

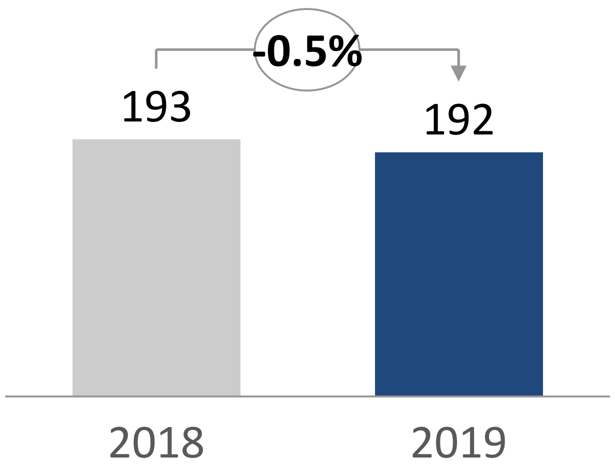
**Fees/Cost**
2018: 46%
33%

## Loans [Rwf Bn]

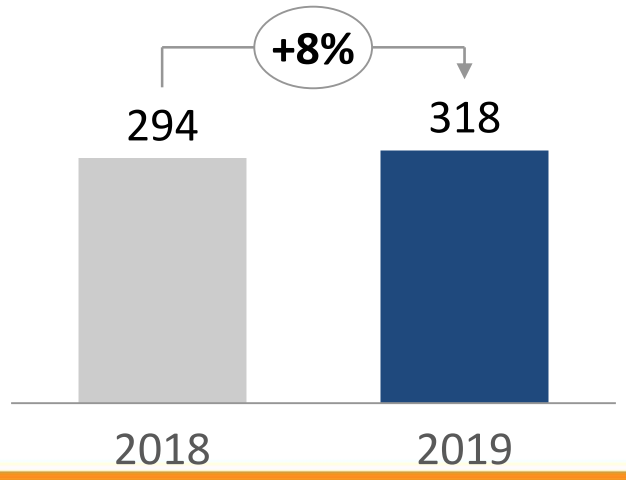



## Deposits [Rwf Bn]

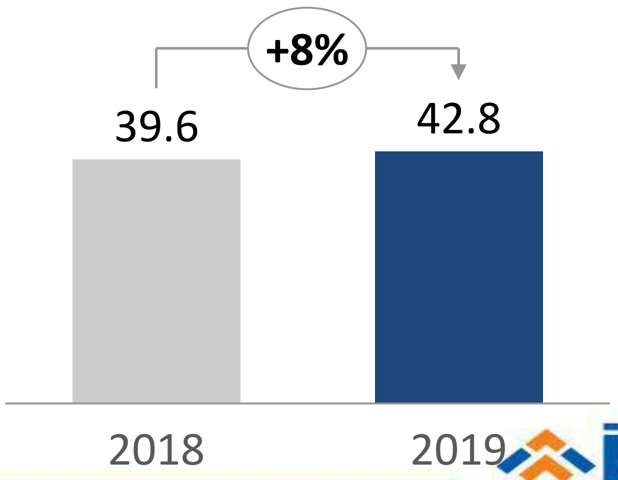
Figures in Rwandese Francs




## Assets [Rwf Bn]




## Equity [Rwf Bn]



# I&M Bank (Rwanda) Plc – Key Achievements

- The Bank launched the ***enhanced MSMEs offering*** – the revamped products are expected to improve the liabilities business once implemented.
- The Bank partnered with MasterCard and launched country's first ever ***multicurrency prepaid card***.
- The launch of ***Home and Personal loan products*** led to a significant rise in the number of new customers
- Other Contributions to the ***enhanced customer service*** was the launch of Retail mobile App, Cash Deposit Machines and Mobile ATMs

***Key Awards & Recognition***

- Global Finance – **Best Bank in Rwanda – 1st Position**
- RDB Business Excellence Awards **- 1st Position**
- Rwanda Revenue Authority – **Best Tax Payer – 1st Position**

# Regional Economies - Tanzania

- The Tanzania economy continued to record steady growth averaging 6.9%, same as in the corresponding period in 2018.

- The exchange rate remained stable, bolstered by prudent monetary and fiscal policies, moderate current account deficit and subdued oil prices in the world market.

- The banking sector registered an improved performance coupled with reduced impairment levels. Implementation of key statutory and regulatory changes including IFRS 16, reduction of statutory minimum reserve ratio, abolishment of the 1% general provision for loans categorized as ‘normal’ all provided the required stimulus to the industry

Source; AFDB website

# I&M Bank (T) Ltd, Tanzania – Financial Highlights

**Highlights**

**Dec 2019**

**vs**

**Dec 2018**

**Reported PBT**
2018: 9.0.bn
8.8bn

**Net Revenue**
2018: 31bn
34.5bn

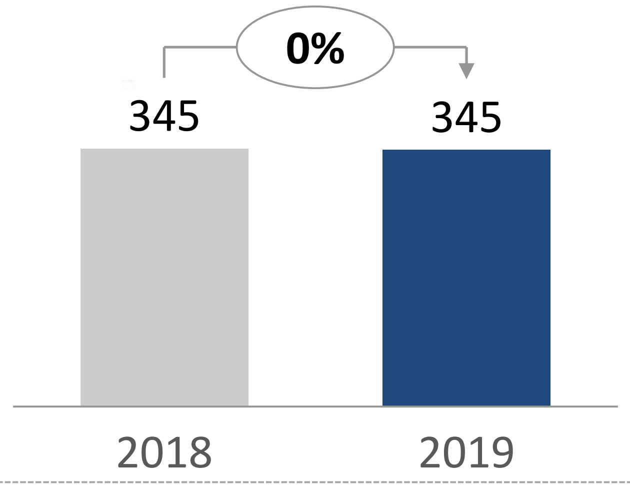
**Cost/Income**
2018: 64%
66%

**Fee/Income**
2018: 30%
26%

**Loans/Deposits**
2018: 99%
97%

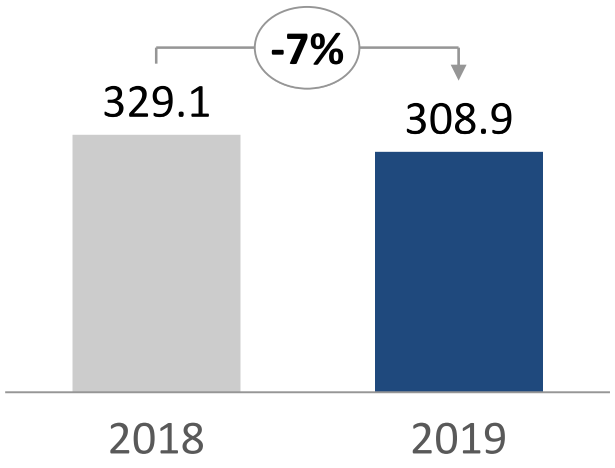
**Fees/Cost**
2018: 47%
38%

## Loans [TShs Bn]

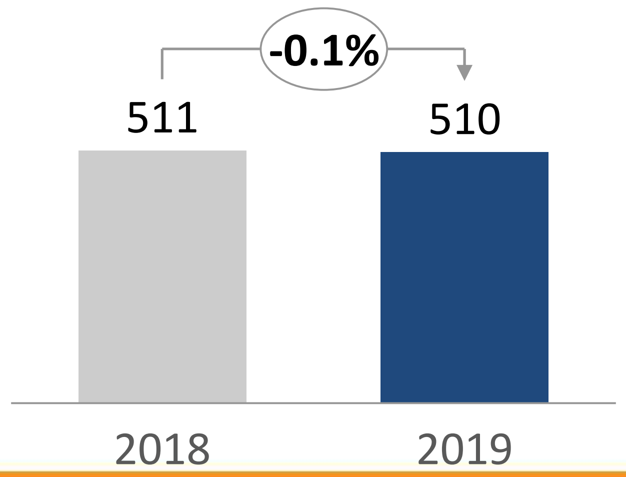



## Deposits [TShs Bn]

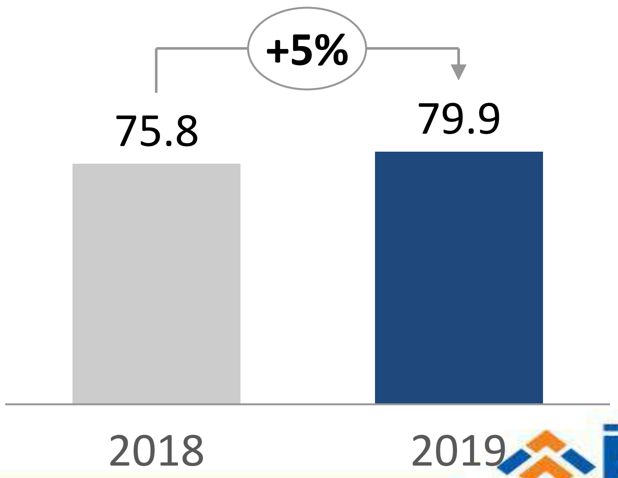
Figures in Tanzania Shillings




## Assets [TShs Bn]




## Equity [TShs Bn]



# I&M Bank (T) Limited – Key Achievements

- Successfully migrated its core banking system to ***Finacle 10***

- Introduced the ***Balance Score Card*** approach to align the individual Personal Score cards with the Bank's strategy in order to drive the performance culture, nurture talent and build capacities.

- Ventured into insurance business through the launch of ***Bancassurance services*** and also launched ***Custodial and Investment Management*** Services to enable investors in managing their investments across the East African region in equities and bond markets.

- The Bank introduced the e-wallet payment solution ***SPENN*** to facilitate payments between the users at free of cost through the advanced features based on QR codes and an innovative geo-location interface

***Key Awards & Recognition***

CITI Bank - **US Dollar Payments Straight Through Processing Excellence Award – Winner**

# Economic Review - Mauritius

- The Real Gross Domestic Product remained steady at 3.8 per cent in 2019. Pre Covid-19 was projected to be 3.9 per cent for 2020. Key growth drivers indicated to be services sectors (tourism, financial services and ICT) ,retail and wholesale trade.

- The banking system remained resilient despite the increased regulatory supervision and reporting requirements.

- The Central Bank has had a change of guard with both the Governor and Deputy Governor of the Central Bank being dismissed and a new Governor appointed effective 1st March 2020. The market expects much tougher regulatory regime.

Source; AFDB website

# Bank One Ltd, Mauritius– Financial Highlights

**Highlights**

**Dec 2019**
**vs**
**Dec 2018**

**Reported PBT**
2018: 0.5bn
0.7bn

**Net Revenue**
2018: 1.4bn
1.5bn

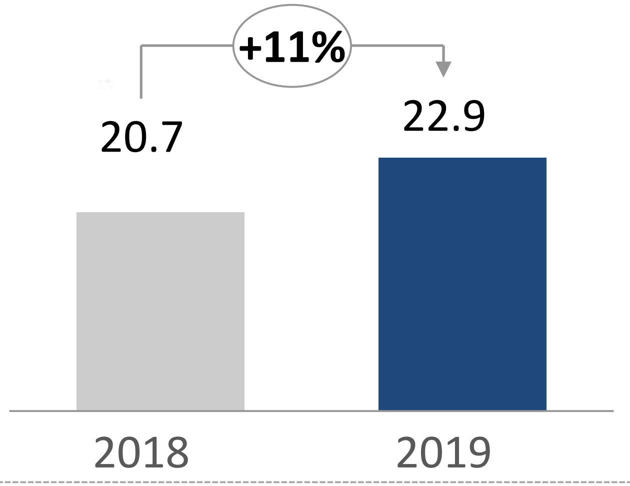
**Cost/Income**
2018: 45%
50%

**Fee/Income**
2018: 53%
54%

**Loans/Deposits**
2018: 62%
48%

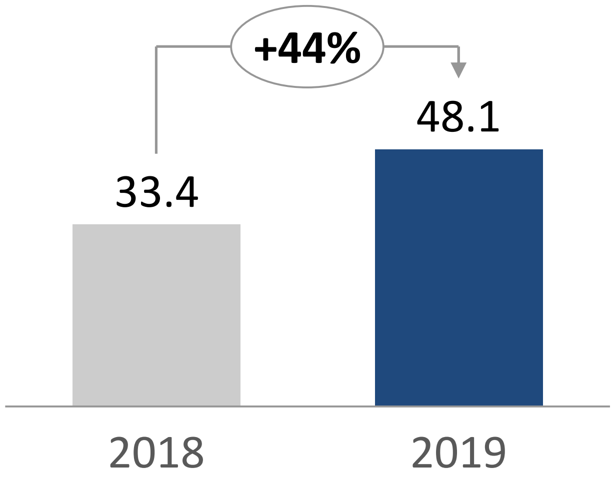
**Fees/Cost**
2018: 82%
71%

## Loans [MUR Bn]

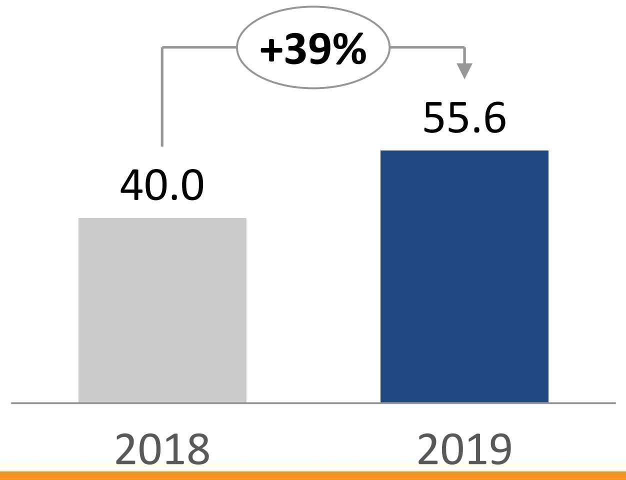



## Deposits [MUR Bn]

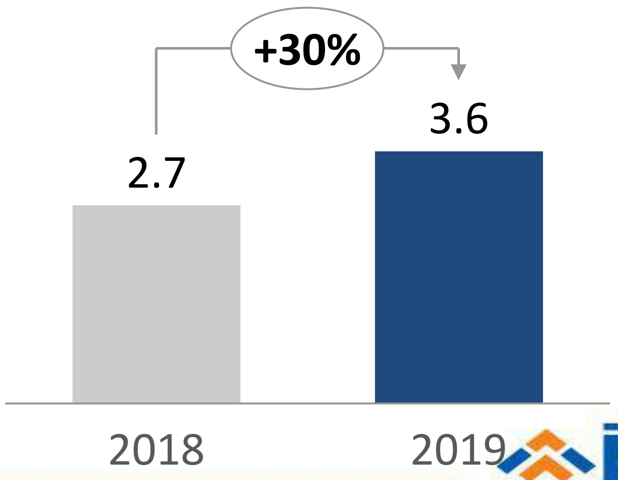
Figures in Mauritian Rupees




## Assets [MUR Bn]




## Equity [MUR Bn]



# Bank One Limited, Mauritius - Key Achievements

- The Bank commenced ***digitization and transformation*** in January 2019 geared towards building Capacity, Enhancing processes, new product development amongst others.

- The Bank set up an ***innovation lab - 'One Lab'*** to help incubate innovative ideas and attract talent enabling it to pursue a disruptive journey on the market

- The Bank continues to hone up its risk management systems and ***de-risk its portfolio*** by penetrating new markets and offering an enhanced range of products.

- The Group injected **additional capital of MUR 150 million** (c.KES 430 million) during the year to achieve an optimal capital mix and boost its Tier I Capital ratios

***Key Awards & Recognition***

- Global Finance Magazine - **Best Private Bank Mauritius –Winner**

- Global Banking & Finance Review - **Best Corporate Bank Mauritius –Winner**

- LinkedIn -Best Employer Brand Sub-Saharan Africa (Below 500 employees category) – **Winner**

- PwC Mauritius -Corporate Reporting Awards (Financial Services Category) – **Runners Up.**

# Non-Banking Subsidiaries

# I&M Burbidge Capital Ltd

- The advisory business reported a 25% reduction in revenues as a result of a challenging origination environment and delay in completion of transactions leading to deferment of revenue recognition.

***Key Awards & Recognition***

- East Africa Private Equity & Venture Capital Association - **Financial Adviser Award – Winner**

- Deal Makers Africa - **Mergers & Acquisitions Financial Adviser (Deal Flow) East Africa - Winner**

# I&M Insurance Agency Limited

- The Insurance agency contributed KShs 112Mn to Group profitability

- The agency is continually partnering with underwriters in developing customized products in agriculture, ordinary life assurance and Group life and pension.

## I&M Realty Limited

- Construction of the Group’s new headquarters at the junction of 1st Parklands Avenue and Limuru Road – 1 Park Avenue, Nairobi was completed in January 2020

- Fit out works are ongoing and it is expected that the teams shall relocate to the new headquarters sometime mid-2020.

## I&M Foundation

- The Group set up I&M Foundation in 2019 which will now continue to spearhead the Group’s shared growth agenda in the areas of Environment and conservation, Education and skills training, Economic empowerment and Philanthropy

# 2020 in Perspective

- Focus on growing regional businesses and aligning these entities with the Group’s strategic focus.

- Continued investments in digital innovation and platforms in our journey towards transformation.

- Entrench the Bank’s services in the customers’ business while making it as convenient as possible for them to do business.

- We realise that the regional economies and globally alike, have been impacted by the COVID-19 pandemic, initially through reduced trade flows and restricted travel. This will have overall supply chain failures and, more generally, a meltdown of the world economy as a whole.

- The Group remains committed to supporting efforts to mitigate the impact of the pandemic as we work with the respective Central Banks in facilitating the targeted interventions and credit extensions to the vulnerable segments.

- The measures to mitigate the impact of pandemic will impact Investments. The group has activated Business Continuity Plans in order to guarantee the maintenance of customer services, we however expect reduced transaction levels which are likely to impact our fee income and deterioration of credit portfolios due to reduced business for our customers.

# COVID-19 Response

I&M activated BCM protocols across its subsidiaries following the ongoing COVID-19 Pandemic. Key actions include:

- Enhanced standards of hygiene at the work place & implementation of social distancing guidelines for staff and customers.
- Daily communication with staff , frequent updates to Board
- Temporary suspension of all travel, classroom based trainings and all business meetings (face to face only)
- Identification of critical services and systems; split up of operational staff in Red and Blue teams and distribution of critical staff to different work locations.
- Scale down of banking hours; and active promotion of channel banking done through customer communication and deliberate decisions (concessions /waivers)
- Boosted risk mitigation measures (Physical and logical security, reviews and reconciliations, stress testing & portfolio reviews)
- Monitoring staff wellness and critical ratios on daily basis
- Enhanced levels and frequency of communication with key stakeholders (staff, customers, suppliers, regulators & Board)

# Part 4: Appendices

# Subsidiary Briefs

# Subsidiary Briefs

## *I&M Bank Limited, Kenya*

- Incorporated in 1974 and converted into a fully fledged commercial bank in 1996.
- Strategic alliances & technical assistance with DFIs have led to improved governance standards, state-of-art systems, policies and procedures in areas of AML, ESM, & Risk Management
- In 2017, all the Banking assets of Giro Commercial Bank Limited (GCBL) were merged into that of I&M Bank following the completion of the acquisition of GCBL by I&M Holdings Limited.
- Our customers have access to 55 I&M ATMs and over 4,000 ATMs countrywide across the network
- Branch Network totals 41 branches spread across the Country
- Customer Base of over approx. 140,000;
- Staff force of 1,124;

# Subsidiary Briefs

## *I&M Bank (T) Limited, Tanzania*

- Incorporated in 2002. I&M Bank & its partners acquired I&M Bank (T) in 2010
- I&M Bank (T) shareholding:
  - I&M Bank (Kenya) – 70.38%
  - The Kibo Fund LLC – 20.02%
  - Proparco – 4.62%
  - Mr. Michael N. Shirima – 4.98%
- In 2014 the Bank commissioned its new Head Office premises
- Branch network of 8 branches
- Bank introduced the 1st ever 24hr fully automated Service Lounge in 2014
- Strategic alliances with DFIs
  − Proparco: USD 5.0 M Senior Debt (2008) – DEG: USD 8.0 M Tier II (2015)
  − IFC: USD 8 M GTFP (2014) - FMO: USD 12.0M Senior Debt (2016)
- Customer base of over 16,000 & staff force of 183

# Subsidiary Briefs

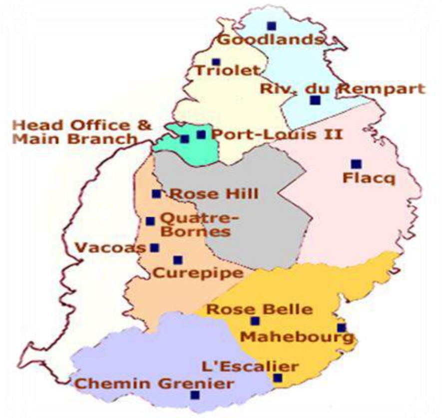
## *I&M Bank (Rwanda) Plc, Rwanda*


- Incorporated in 1963 it was the first commercial bank in Rwanda
- Shareholding of I&M Bank (Rwanda):
  - I&M Bank Group – 55.00%
  - Africinvest – 25.00%
  - Others (public through GoR IPO) – 20.00% (approx.)
- In 2017, the much-anticipated Government of Rwanda (“GoR”) Offer for Sale of Shares held in I&M Bank was launched on 14th February 2017 and was oversubscribed by 2.08 times. The GoR objective was to encourage private equity investment and promote the development of the local capital markets. I&M Bank is the 3rd entity to be privatized through an IPO under this GoR Privatization programme.
- The Bank has been rated the Best Bank in Rwanda 5 years in a row by Global Finance.
- Branch network of 18 and 31 ATMs, staff force of 376 and customer numbers over 30,000.

# Subsidiary Briefs

## *Bank One Limited, Mauritius*

- Incorporated in 1997 and was taken over by I&M Bank and CIEL Group in 2008.
- 50/50 Joint Venture with CIEL Group, – a reputed and diversified industrial conglomerate.
- Fully-fledged commercial bank offering on-shore and off-shore banking services having re-defined Private Banking model in 2017 and Retail Banking in 2018.
- Significant focus and efforts on improvement in risk management framework and efficiency during the last 2-3 years.
- Branch network of 12 across Mauritius with 13 ATMs.
- Customer Base - over 50,000;
- Staff force of 411.



# Subsidiary Briefs

## *Non Banking Subsidiaries*

### I&M Burbidge Capital Limited, Kenya (IMBC)

- Incorporated in May 2010 and is domiciled in the Republic of Kenya.
- I&M Group acquired 65% shareholding in August 2016.
- Regulated by the Capital Markets Authority (CMA) as an Investment Advisor
- IMBC advises businesses in the East Africa region on significant capital raising through IPOs, private equity, debt and mergers & acquisition transactions with a focus on large and mid-sized companies.
- IMBC has a wholly owned subsidiary domiciled in Uganda – I&M Burbidge Capital (U) Limited which was incorporated in April 2012.
- The company has a total of 11 employees.

# Subsidiary Briefs

## *Non Banking Subsidiaries*

**I&M Insurance Agency Limited, Kenya**

- Incorporated on 23 July 2014 as a limited liability company in Kenya and commenced operations on 1 August 2014.
- The company is regulated by Insurance Regulatory Authority under the Insurance Act (Cap 487) of the Laws of Kenya.
- Is a wholly owned subsidiary of I&M Bank Limited
- Acts as the Group's Bancassurance entity –aimed at provision of insurance agency services.
- Offers a wide range of insurance products and insurance advisory services in partnership with leading insurance companies in the market.
- Currently has 21 employees dedicated to this unit.

**Youjays Insurance Brokers Limited, Kenya**

- Youjays Insurance Brokers ('YIB') is a private limited company incorporated in Kenya to carry on the business of an insurance broker and is licenced and regulated by the Insurance Regulatory Authority of Kenya.
- The Company was acquired in 2018 by IMIAL a wholly owned subsidiary of I&M Holdings.
- It is currently dormant.

# Subsidiary Briefs

## *Non Banking Subsidiaries - Continued*

**I&M Realty Limited, Kenya**

- The company is a wholly owned subsidiary of I&M Holdings.
- Incorporated on 30$^{th}$ October 2014 as a limited liability company in Kenya
- Commenced operations in November 2015.
- It is the real estate holding company of I&M Group. The principal activity of the company is to lease its properties for rental.
- Currently owns 3 properties – I&M Tower, Kenyatta Avenue, 1 Park Avenue, Limuru Road , and Eldama Park (former Giro HO).

**Giro Limited, Kenya**

- Formerly Giro Commercial Bank Limited a full-fledged commercial bank licensed by the CBK was acquired by I&M Group in February 2017.
- It ceased operating as a commercial Bank following the acquisition by I&M Holdings and merger of its banking business into I&M Bank in 2017.

**I&M Capital Limited, Kenya**

- Incorporated in 1963.
- Acquired by I&M following the reverse takeover of CTL and changed its name to I&M Capital Limited on July 21, 2015.
- The Company has since been dormant.

# Our Legacy

From strength to strength

# I&M Holdings PLC

## Introduction

- I&M Holdings Plc, formerly known as City Trust Limited (CTL) was incorporated on 16th August 1950; one of the oldest companies to list on the Nairobi Securities Exchange (NSE).

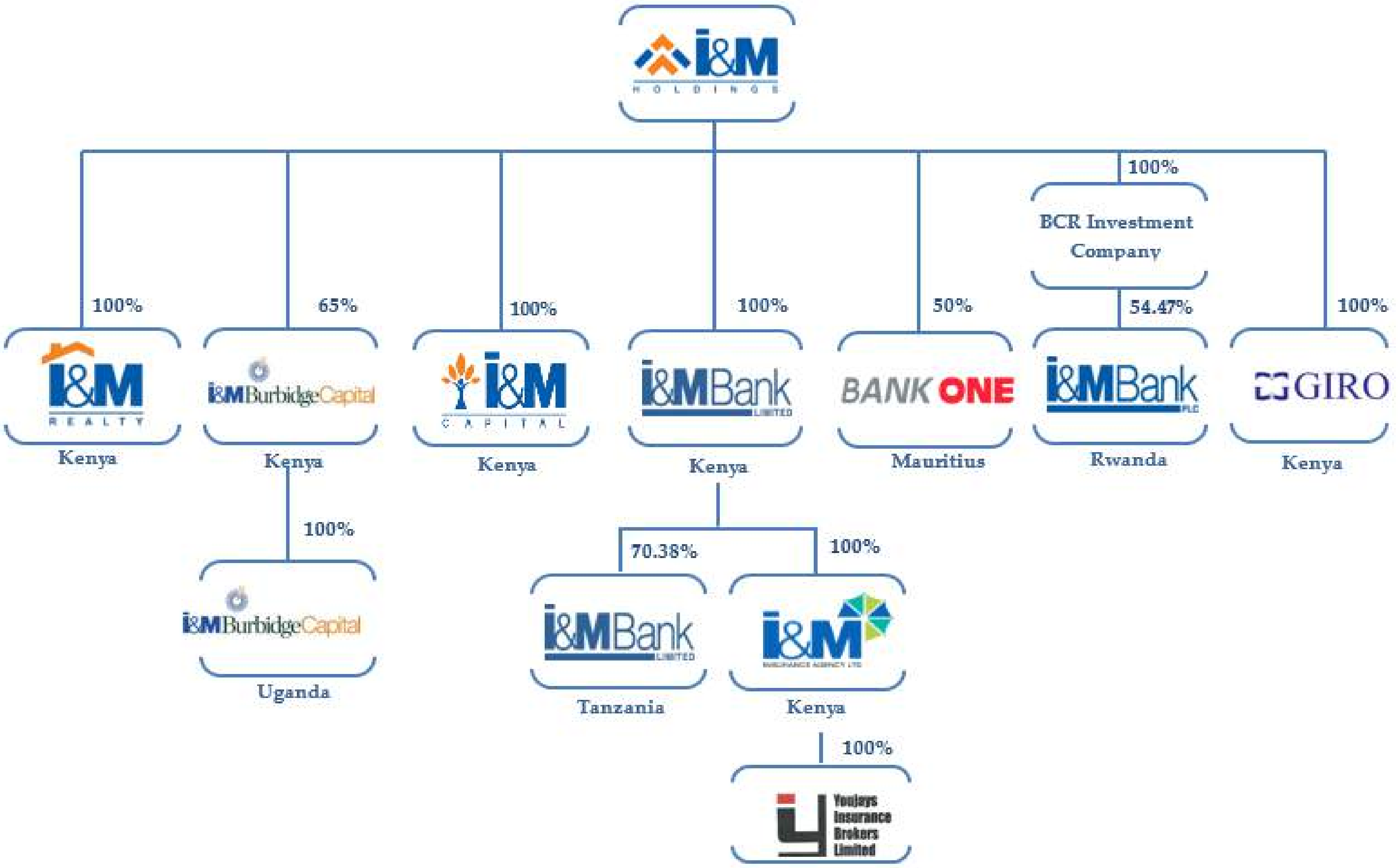
- I&M Holdings was licensed and approved as a non-operating holding company in June 2013 following a reverse takeover of CTL by I&M Bank Limited

- The Company is regulated by the Capital Markets Authority (CMA) and the Central Bank of Kenya.

- I&M Holdings operates in five countries – Kenya, Tanzania, Rwanda, Uganda and Mauritius through its subsidiaries, affiliates and joint venture investments in each of these countries.

- The Group is also supported by several Development Finance Institutions, including, CDC Group Plc, Proparco, DEG, FMO, IFC, EIB and responsAbility who have over time supported the growth of the Group. CDC Group plc is a significant shareholder, having acquired its shareholding of 10.13% from Proparco and DEG following the completion of the latter's investment tenor in September 2016.

# I&M Holdings PLC (IMHP) Structure



# IMHP:

## Key Milestones

**46 years of existence**

- **1974** — I&M Incorporated
- **1996** — I&M licensed as a Commercial Bank
- **2002** — I&M acquires Biashara Bank of Kenya
- **2006** — I&M Bank implements payment systems
- **2007** — Two leading European DFIs – Proparco & DEG became Shareholders
- **2008** — Acquired of 50% shares in Bank One Limited, Mauritius *(Formerly known as First City Bank Ltd)*
- **2008** — I&M 1st Tier II Capital– approx. USD 7Mn
- **2010** — First bank in Kenya to launch E-Commerce
- **2010** — Acquired 55% shareholding of I&M Bank (T) Ltd, Tanzania *(Formerly known as CF Union Bank Ltd)*
- **2011** — Launch of I&M Employee Share Ownership Plan
- **2012** — Acquired 55% effective shareholding of I&M Bank (Rwanda) Ltd *(Formerly BCR, Rwanda)*

I&M HOLDINGS

# IMHP:

## Key Milestones - Continued

**46 years of existence**

**2013**
Set up of I&M Holdings as a non operating holding company, listed on the NSE

**2013**
Began a Tier II MTN Program – 1st Tranche raised approx. USD 42.7 million

**2014**
I&M Bank (Rwanda) & Bank One moved to I&M Holdings

**2014**
I&M Bank gets into social media; facebook with over 50,000 fans presently becoming 5th most popular bank.

**2014**
I&M Bank delves into bancassurance with the formation of I&M Insurance Agency

**2014**
Kenstock Ltd becomes I&M Capital Limited

**2014**
I&M forms a Real Estate Co. I&M Realty Ltd

**2015**
I&M Bank ventures into Agency Banking

# IMHP:

## Key Milestones - Continued

**46 years of existence**

**2016** – Acquired 65% shares in I&M Burbidge Capital Limited

**2016** – CDC Group plc becomes a significant shareholder of I&M Holdings

**2016** – Launch of iMara Strategy

**2017** – Acquired 100% stake in Giro Commercial Bank Limited

**2017** – EIB and responsAbility provide debt financing

**2018** – I&M Insurance Agency acquires 100% of Youjays Insurance Brokers Limited

**2019** – I&M Bank Ltd raises Tier II Capital of Approx. USD 27.2mn through a private placement

**2019** – I&M Bank Ltd Acquires Tier I status in the Kenya Banking Industry

# I&M Holdings Plc Top Shareholders

| SHAREHOLDER NAME | NO. OF SHARES | % |
|---|---|---|
| Minard Holdings Limited | 176,650,032 | 21.4% |
| Tecoma Limited | 152,089,616 | 18.4% |
| Ziyungi Limited | 147,096,000 | 17.8% |
| CDC Group plc | 83,763,000 | 10.1% |
| Other Shareholders (all less than 5%) | 267,212,090 | 32.3% |
| **TOTAL ISSUED SHARES** | **826,810,738** | **100.0%** |

*As at 31 December 2019*

# I&M Holdings PLC (IMHP) Board of Directors

**Daniel Ndonye**
**Chairman**
Independent Non Executive Director

**Suresh B R Shah, MBS**
Non-Executive Director

**Oliver Fowler**
Independent Non-Executive Director

**Michael Turner**
Independent Non-Executive Director

**Dr. Nyambura Koigi**
Independent Non-Executive Director

**Sarit S. Raja Shah**
Group Executive Director

**Sachit Shah**
Non-Executive Director

**Vincent DeBrouwer**
Executive Director

**Suleiman Kiggundu Jr.**
Independent Non-Executive Director

**Rose Kinuthia**
Independent Non-Executive Director

# I&M Holdings Director Profiles

**Mr. Daniel Ndonye** is a chartered accountant by profession, having worked with Deloitte & Touche for over 30 years, 20 of which he was the Managing/Senior Partner. He holds a Bachelor of Commerce degree from the University of Nairobi. He is a fellow of the Institute of Chartered Accountants in England and Wales, the Institute of Certified Public Accountants of Kenya and the Institute of Certified Public.

**Mr. SBR Shah, MBS** is a founder member and Chairman of I&M Bank. He has vast experience in the banking industry and in business. In December 2002, he was bestowed the Honour of a Moran of the Order of the Burning Spear. He sits on the boards of several companies.

**Mr. Sarit S. Raja Shah** has been the Executive Director of I&M Bank since 1993. He holds a Masters degree in Internal Audit and Management from City University London. He also serves on the boards of several companies including I&M Holdings Plc subsidiaries and associates such as: I&M Bank (T) Limited and GA Insurance Limited.

**Mr. Michael Turner** joined the board in August 2014. He is the Managing Director of Actis (East Africa). He holds a BSc. in Civil Engineering from the University of Southampton and is a Fellow of the Institute of Chartered Accountants, England and Wales. He sits on the boards of several companies. He is also the Chairman of the Board Nomination and Remuneration Committee.

# I&M Holdings Director Profiles - Continued

**Mr. Sachit S. Raja Shah** joined the board in July 2015. He holds a Bachelors of Science degree in Banking and Finance from City University London. He is the Executive Director of GA Insurance Limited. He has had the opportunity to work with AMP Asset Management in London and HSBC Bank PLC, London. He sits on the boards of several companies.

**Mr. Oliver Fowler** joined the board in August 2015. He is a qualified Kenyan Advocate, an English Solicitor and a Senior Partner at Kaplan & Stratton Advocates. His work encompasses commercial work, particularly financial, corporate and taxation matters and has been extensively involved in project finance, capital markets, banking and foreign investments sectors. He holds an LLB from University of Bristol and was admitted to the Kenyan High Court in 1979. He sits on the boards of several companies.

**Dr. Nyambura Koigi** joined the board on October 28, 2015. She was the Managing Director of Postbank from 2005 to 2014. She has worked in various capacities in the financial sector including banking, business development and information communication technology. She has extensive training and experience in leadership, project management, product development, ICT and Microfinance. She holds a Doctorate of Business Administration from the Nelson Mandela Metropolitan University, an MBA and a BA both from the University of Nairobi. She is a fellow of the Institute of Certified Public Secretaries of Kenya and the Kenya Institute of Management. She sits on the boards of several companies.

# I&M Holdings Director Profiles - Continued

**Mr. Suleiman Kiggundu, Jr.** joined the Board in June 2018. He has served in senior leadership roles at various institutions, including Equator Bank, HSBC Bank Plc and CDC Group Plc. He educated as an electrical engineer and economist at Yale University. He sits on the boards of several companies. He is also the Chairman of the Board Strategy Steering Committee.

**Mr. Vincent De Brouwer** joined the Board in October 2019. He has spent a significant part of his career in the financial sector on the African continent, particularly in East Africa. He Holds a double degree in Engineering and BSc. in Economics from Universite Catholique de Louvain, Belgium and a BSc in applied science from Katholieke Universiteit Leuven, Belgium. He is also the Regional Director, Group Executive Office.

**Ms. Rose Kinuthia** brings on board wealth of experience and knowledge having spent a significant part of her career as a seasoned risk practitioner for 20 years with extensive experience in risk management and specializing in banking, pension funds and insurance. She holds a Master of Science degree in Risk Management from New York University, New York; Master of Business Administration from Adelphi University, New York; and Bachelor of Arts from the University of Nairobi, Nairobi

# I&M Holdings PLC

## Group Management Structure

**Group Management Structure**

The structure and process for Group Management Structure is as follows

***Board - I&M Holdings***

The Board is adequately represented in terms of independent non-executive directors. These non-executive Directors not only support the Chair by contributing to the wider governance and leadership of the Board and Board Committees at the Holdco but also ensure that the subsidiary Banks and non banking entities have in place appropriate business development and risk management strategies to meet the corporate, operational and financial objectives.

***Group Executive Director (GED)***

The Group Executive Director (GED) functionally reports to the Board of I&M Holdings Limited while administratively reports to the Board Chairman. In addition he doubles up as the Executive Director for I&M Bank and reports to the Bank's Board. Each of the subsidiary CEOs have a dotted line to the Group Executive Director while functionally and administratively reporting to their respective Boards.

***Group Nominated Directors (GND)***

I&M Nominated Directors sit on the boards of the respective subsidiaries / Joint Ventures. These nominated directors are either independent directors or senior experienced officers at I&M Bank Ltd. Each of the Group Nominated Directors (GND) report to the Board Chairman through the Group Executive Director. Through this approach, the I&M Nominated Directors play a critical role in governance by monitoring the entity, ensuring that the entity is well managed and provide guidance and direction to the entity at the Board level in tandem with the requirements for the Group.

# Group Strategy

*The 6 key strategic objectives will support achievement of the its **3 key goals:***

- **Support growth of the group;** (A)
- **Achieve optimal Group and Capital Structure;** (B)
- **Maintaining strong investor relations;** (C)

### 1. Group Investments

- Hold and manage investments in regional and domestic entities

### 2. Regulatory Compliance

- Ensuring zero tolerance for non compliance across all entitles

### 3. Domestic & Regional Expansion

- Explore opportunities for mergers and acquisitions to support expansion across markets both present and future;
- Explore opportunities for group synergies in regions with presence

### 4. Fund Raising & Capital Management

- Explore opportunities for mergers and acquisitions to support expansion across markets both present and future;
- Explore opportunities for group synergies in regions with presence

### 5. Group Management

- Overseeing group operations / harmonization of key strategic initiatives;
- Service and Policy uniformity;
- Technical support to subsidiaries

### 6. Diversification of activities

- Explore options to diversify the investments to non-banking sector i.e. Real Estate, Other Financial Services;

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The Financial results of the Group can be sourced from the Audited 2019 Annual Reports and publications.

# Thank You

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